

they're necessary. A simple spreadsheet will do—and if you can create a SUM formula to add up the total of a column of numbers, you have all the spreadsheet knowledge necessary.

Create a simple spreadsheet for your budget, if you haven't already, and start by listing your income and your monthly expenses. Estimate, in round numbers, how much you spend on each expense every month. You can adjust later, but it's better to err on the side of too high a number, rather than putting a low number and breaking your budget.

Now let's look at ways to create a simple budget:

1. 60% solution

There are many ways to structure your budget, but the simplest I've found is the 60% solution. Basically, this budget asks you to fit your regular monthly expenses within 60% of your gross income, so that you have room for savings (long-term and short-term), retirement, and spending money ("fun money"). These are the things that most often break a budget, because most people don't budget for them. Now, your percentage will vary, but the percentages given here are just rough guidelines:

60%: Monthly expenses. This includes housing, food, utilities, in-

surance, Internet, transportation, and so on. This is the part most commonly thought of as a budget.

10%: Retirement. If you're doing it right, this is being automatically deducted from your paycheck for a 401(k) investment.

10%: Long-term savings or debt reduction. It's best to invest this in something such as stocks or an index fund, and this can serve as your emergency fund. But if you are in debt (not including a home mortgage), I would advise that you use this portion of the budget to pay off your debts, and even draw some from the other categories such as retirement to increase this to about 20% for now. Once your debts are paid off, you can switch this to long-term savings. You still need to have an emergency fund, but while you're in debt-reduction mode you can either create a small, temporary emergency fund out of the money from this category or the next.

10%: Short-term savings. This is for periodic expenses, such as auto maintenance or repairs, medical expenses (not including insurance premiums), appliances, home maintenance, birthday and Christmas gifts. For this savings account, be sure to spend the money when you need it—that's what it's for. When these expenses come up, you will have the money for them, instead of